III. Regulatory cholesterol

This report defines 'regulatory cholesterol' as the policy actions of the three arms of the State, i.e. the executive, the legislature, and the judiciary, using the instruments of legislations, rules, regulations or orders, to create or raise barriers to a smooth flow of ideas, organisation, money and most importantly, the flow of the entrepreneurial spirit. In India, a wrong political choice in the early decades of Independence has created a policy fraternity that shuns data and causalities and leans on rhetoric and ideologies to frame economic policies. Inflation in the 1970s, for instance, was not caused by hoarders and speculators; it was a matter of supply and demand. "Excoriating, coercing, or imprisoning the hoarders and speculators changes nothing in terms of creating new supply," write Vijay Kelkar and Ajay Shah.[28] "The economic theory of people hostile to economic forces is wrong."

By taking one policy tool — imprisonment — this report highlights the excesses of overregulation and the resultant regulatory cholesterol while doing business in India. Although the biggest constituency at the receiving end of these laws is that of entrepreneurs running for-profit firms and corporations, this regulatory overreach also impacts not-for-profits such as schools and hospitals—both necessary institutions for India with a huge demand. Step